Comparing Unemployment and Vacancies to Assess Efficiency

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<u>Efficient unemployment rate</u> : $u^* = \sqrt{uv}$

<u>Economy is inefficiently slack</u> : $u > u^*$

$\Leftrightarrow \quad u > \sqrt{uv}$

$\Leftrightarrow \quad \sqrt{u} > \sqrt{v}$

$\Leftrightarrow \quad \boxed{u > v}$

<u>Economy is inefficiently tight</u>: $u < u^*$

$\Leftrightarrow \quad \boxed{u < v}$

<u>Economy is efficient</u>. $u = u^* \Leftrightarrow \boxed{u = v}$

↳ Beveridge (1944): first mention of Beveridge curve (u & v move in opposite directions) & discussion of full employment (~ efficient unemployment) being reached when $u \approx v$

<u>Express results in terms of market tightness</u> $\theta = v/u$

- Efficient : $\boxed{\theta^* = 1}$

- Insufficiently slack. $\theta < 1$
- Insufficiently tight: $\theta > 1$